ChatGPT

HCM One: Evidence Research on Indian Payroll, Arrears, Payslip Confusion and Agentic AI

Executive summary

This research was conducted for **HCM One**, an agentic payroll assistant aimed at Indian companies with roughly 200–2,000 employees. Evidence was prioritised from India and from 2024–2026, with official EPFO material used for current provident-fund context, official product documentation for competitor capabilities, and public employee complaints used only as qualitative evidence rather than as representative statistics.

Five key insights

The strongest HR-admin problem is not "calculating a hike"; it is safely replaying history. A back-dated salary revision requires payroll to determine what should have been paid in each affected period versus what actually was paid, then bring the difference into a later payroll. Current Zoho guidance explicitly describes this period-by-period delta approach; Indian payroll guidance also warns that flat "monthly increase × number of months" calculations fail when LOP, component splits or statutory bases changed during the retro period. [1]
Confidence: High.

Spreadsheet and hand-off risk is credible, but there is no good India-wide prevalence statistic. Recent Indian payroll guidance consistently identifies manual attendance reconciliation, spreadsheet formula/version problems, incorrect master data, disconnected systems and email/spreadsheet approvals as sources of payroll rework. However, I did **not** find a reliable, representative Indian study telling us what percentage of 200–2,000-employee companies still calculate arrears in spreadsheets. [2]
Confidence: High for the failure modes; Low for prevalence.

PF is both a calculation problem and an explanation problem—and the rules are currently especially time-sensitive. EPFO's website currently carries a September 2026 wage-ceiling circular and FAQs; secondary reporting on that circular says the statutory wage ceiling increased from ₹15,000 to ₹25,000 with effect from **17 September 2026**. The same reporting demonstrates the employee/employer 12% contributions and employer EPF/EPS split, and specifically identifies employees confusing gross/CTC with PF wages and assuming the whole employer contribution reaches EPF. [3]
Confidence: High.

Employees appear to experience payroll primarily as a "why did my bank credit change?" problem, not as a payroll-component problem. Public Indian complaints begin with a lower-than-expected salary, PF changing after a hike, an unexplained TDS deduction, or a payslip/bank mismatch. People then contact HR, inspect payslips and statutory records, and sometimes ask Reddit or colleagues to interpret the result. There is **no reliable evidence found** for an India-wide median time to resolve such queries. [4]
Confidence: Medium.

“AI chatbot for payroll” is no longer differentiated by itself. In 2026, Keka publicly describes AI that answers payroll questions, cites the underlying record, completes tasks and explains payroll anomalies; Darwinbox has an AI Super Agent; greytHR has an agentic HR/payroll/compliance assistant; and Workday's Payroll Agent explicitly includes **payslip explanation and payslip comparison**, payroll validation, recommended actions and human oversight. The stronger HCM One opportunity is therefore **India-specific retro-pay reasoning + visible statutory calculations + approval controls + an employee-facing “what changed and why?” explanation**, not merely conversational UI. [5] **Confidence: High.**

Research scope and evidence standard

The findings below distinguish three kinds of evidence.

High confidence means the behaviour, rule or feature is directly stated by a government source, a product's official documentation, or a credible reported event. **Medium confidence** means multiple sources support the pattern, but the conclusion requires some interpretation—for example inferring a UX need from several public complaints. **Low confidence** means it should be treated as a hypothesis for interviews or usability research rather than a fact.

Vendor sources are useful for documenting **workflow mechanics and product capabilities**, but vendor claims about how frequently problems occur should not be treated as neutral market statistics. Reddit and similar public posts are useful for discovering vocabulary, mental models and failure scenarios, but not for estimating prevalence.

A significant evidence gap emerged: I did **not** find a representative recent Indian survey specifically measuring back-dated payroll processing practices, employee payslip-confusion categories, or payroll-query resolution time among mid-size companies. Where that gap matters, it is explicitly marked rather than filled with an assumption.

There is also an important **date dependency** in the PF findings. EPFO's current site lists its wage-ceiling circular dated 28 September 2026 and associated FAQs, while contemporary reporting states that the higher ceiling became effective on 17 September 2026. Any portfolio prototype showing statutory calculations should therefore label the rule version/effective date instead of presenting PF parameters as timeless constants. [3]

HR Administrator findings

Back-dated salary revisions and arrears

Research question: How do HR and payroll teams in India currently handle back-dated salary revisions and arrears calculation?

Finding — Facts

A typical retro-pay situation occurs when the effective date of a salary change precedes the date on which payroll is updated. Zoho's current Indian payroll guidance gives the example of a salary moving from ₹50,000 to ₹55,000 effective April but being processed in June: April and May each generate a ₹5,000 difference, which is then paid as arrears with June payroll. It states that arrears should be calculated as the difference between **what the employee should have received and what they actually received for each affected payroll period**, after which the differences are summed. [6]

The practical workflow therefore looks like:

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effective-dated salary change → identify affected closed periods → reconstruct/recalculate each affected period → calculate old-vs-new delta → recalculate affected deductions/statutory components → bring net/gross adjustment into a later payroll → review/approve → communicate
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The sequence above is a synthesis rather than a statutory workflow, but each core calculation step is reflected in current payroll-product guidance. Zoho Payroll says software can apply a revision to affected payroll periods, calculate the difference and include the resulting arrears with applicable salary calculations and deductions. [6]

Recent Indian SMB payroll guidance similarly recommends **month-wise** recomputation rather than treating the arrear as a single lump sum. It identifies retrospective appraisals, promotions, delayed joining documentation, attendance/LOP corrections and retrospective wage revisions as common triggers. [7]

Modern HRMS products increasingly encode at least part of this workflow. Keka's current payroll-processing documentation shows a specific salary-revisions step displaying old salary, new salary and percentage change, with options to hold or release the salary and add comments. Zoho Payroll advertises multi-level approval of pay runs. [8]

No reliable evidence found for what percentage of Indian mid-size employers perform retro calculations entirely in an HRMS versus Excel/spreadsheets versus outsourced payroll.

Interpretation for HCM One

The object the HR administrator needs to inspect is not merely:

> "Arrears = ₹42,000"

It is closer to an **explainable replay of payroll history**:

> "Salary changed effective 1 April. April was recalculated from ₹X to ₹Y; May from ₹X to ₹Y; May contained two LOP days; the revised basic changed the PF base; therefore gross arrears are ₹A, additional PF is ₹B, tax impact is ₹C and expected net arrears are ₹D."

That is a substantially stronger interaction model than a chatbot returning one final figure.

Confidence: High for the period-by-period calculation pattern; **Medium** for how commonly each implementation method is used.

Sources: Zoho Payroll salary-arrears guidance [6]; CozyHR Indian arrears-processing guide [7]; Keka payroll documentation [9].

Errors, delays, spreadsheets and recalculation

Research question: What errors, delays and manual work are common?

Finding — Facts

Recent India-focused payroll guidance repeatedly identifies **fragmented inputs** as an upstream cause of payroll mistakes. DigiSME describes separately maintained attendance and manually calculated payroll turning each cycle into a reconciliation exercise, producing salary mismatches, overtime errors, manual leave adjustments and LOP inconsistencies. Incorrect PAN, UAN, bank or employment-category master data can in turn lead to salary-credit failures, incorrect PF/ESI/TDS deductions and reconciliation rework. [10]

The same source explicitly describes continued use of emails and spreadsheets for approvals as producing weak traceability, and spreadsheet payroll at scale as creating version-control problems, formula errors, weak audit trails and dependency on individual staff members. [10]

Another India-focused payroll vendor describes spreadsheet entry mistakes requiring HR to spend days rectifying errors and responding to employee queries, while manual attendance, approval and calculation processes can delay salary processing. Because this is vendor-authored rather than independent research, it supports the **existence** of the problem rather than its prevalence. [11]

Retro payroll adds another failure mode: simple multiplication. Recent arrears guidance warns that:

`monthly hike × number of retrospective months`

can be wrong when an affected month contained LOP, a different component structure or a different statutory base. It recommends recreating each affected month and calculating its delta separately. [7]

Examples of error categories supported by the evidence are:

Failure point	What can go wrong	Evidence strength
Attendance/leave hand-off	LOP or overtime differs from what payroll receives	High for existence [10]
Employee master data	PAN/UAN/bank/category errors create deduction or credit failures	High for existence [10]
Spreadsheet arrears	Formula and version errors; weak audit history	High for existence [10]
Flat arrears formula	Ignores month-specific LOP/components/ statutory bases	Medium–High [7]
Approval by email/file	Unclear accountability and approval history	Medium–High [10]
Correction after payroll	Payslip, bank credit and later recovery can diverge	Qualitative case evidence [12]

A recent public Indian workplace post illustrates the downstream experience: an employee reported a revised salary of ₹1,00,000, a ₹1,10,000 bank credit caused by a payroll error, a ₹10,000 recovery the following month, and a delayed corrected payslip. The employee was then concerned that the mismatch could cause problems during background verification. This is one anecdote, not evidence of prevalence, but it shows why “fixing the number next month” does not eliminate the user's problem—the historical record must also make sense. [12]

Interpretation for HCM One

The useful AI role is less “do arithmetic faster” and more:

1. detect which historical periods need replay,
2. pull the correct effective-dated inputs,
3. identify unusual differences,
4. show the exact source record behind each input,
5. keep the original and proposed payroll versions,
6. require human approval before mutation.

The strongest portfolio story would therefore show the agent reducing **reconciliation and cognitive load**, not claiming unsupported percentages such as “reduces payroll errors by 80%”.

Confidence: High that these failure modes exist; **Low** for any claim about how often each one occurs in the target segment.

Sources: DigiSME 2026 payroll-errors guide [10] ; Unirr payroll-errors guidance [11] ; public Indian payroll-correction complaint [12] .

PF impact of a salary hike and likely mistake points

Research question: How does a salary hike affect PF, and where do HR teams make mistakes?

Finding — Facts

PF should not be modelled as simply “12% of salary hike”.

As of 12 October 2026, the EPFO homepage lists a wage-ceiling circular dated 28 September 2026 and an accompanying wage-ceiling FAQ. Contemporary reporting based on the change states that the statutory wage ceiling moved from ₹15,000 to **₹25,000 a month**, effective **17 September 2026**. [3]

For an illustrative employee with applicable PF wages of ₹25,000, the employee 12% contribution is ₹3,000 and the employer contributes ₹3,000. The employer amount is not all credited to the employee's EPF account: the cited current illustration allocates approximately ₹2,083 to EPS and ₹917 to EPF. [13]

The current reporting explicitly identifies two common employee interpretation mistakes: assuming the entire employer contribution goes into EPF, and calculating PF using gross salary or CTC instead of the applicable PF wage under the statutory rules. [13]

For a retrospective salary increase, India-focused arrears guidance recommends reconsidering statutory consequences month by month. A change in basic/PF-applicable wage can change the employee deduction, employer contribution and therefore the net arrear that reaches the employee. It specifically warns that an employee may expect a gross arrear figure but receive materially less after PF and tax, generating queries unless HR explains the deductions. [7]

There is an additional 2026 edge case: because the reported PF ceiling changed **mid-September**, retrospective calculations that cross 17 September 2026 may involve different statutory contexts before and after the effective date. Contemporary reporting says contributions for existing employees should be calculated separately for the period before and after the change. [13]

Where mistakes are plausible, based on the evidence:

Mistake	Why it matters
Using CTC/gross instead of the applicable PF wage	Produces the wrong contribution expectation. [13]
Treating employer 12% as wholly EPF	Ignores the EPF/EPS split. [13]
Calculating retro PF on one aggregate arrear	Can ignore differences between affected months. [7]
Ignoring LOP when replaying an affected month	Can overstate the wage/revised arrear for that month. [7]
Leaving outdated statutory configuration in payroll software	Particularly risky around rule/ceiling changes. [14]
Showing only the net deduction	Makes it difficult for an employee to distinguish employee PF, employer EPF and EPS. [13]

Interpretation for HCM One

The agent should display a calculation tree such as:

> **Why PF increased by ₹X**
> Revised PF-applicable wage: old ₹A → new ₹B
> Effective date: DD/MM/YYYY
> Affected periods: April–September
> LOP-adjusted bases: [period detail]
> Employee contribution: [formula]
> Employer contribution: [formula and EPF/EPS split]
> Rule version used: [effective date / current policy]
> Net impact on this payroll: −₹X

That would solve both the HR user's auditability requirement and the employee's mental-model problem.

A particularly important design safeguard is to have the system cite the **rule version/effective date** and organisational PF policy used in the calculation rather than letting the language model infer statutory treatment.

Confidence: High for the current PF contribution structure and current wage-ceiling context; **Medium** for retro-PF mechanics because organisation-specific coverage and contribution policy matter.

Sources: EPFO current site [15] ; Financial Express current PF/EPS explanation [13] ; India-focused arrears guide [7] .

Approval steps before changes go live

Research question: What approval steps exist before payroll changes go live?

Finding — Facts

There is **no reliable evidence found of one legally mandated, universal Indian approval sequence** such as “manager → HR head → finance → CFO” for every salary revision. Approval chains vary by employer and software configuration.

There is, however, good evidence that modern Indian payroll products treat payroll approval as a distinct control rather than allowing every calculated change to flow directly to payment.

Zoho Payroll currently advertises **multi-level approvals**, stating that each pay run can pass through the appropriate approvers. [16]

Keka's payroll-running documentation exposes salary revisions as an explicit review stage showing the old salary, new salary and percentage difference, with a **Hold/Release** decision and comments. [9]

India-focused payroll guidance recommends employee-data changes going through an approval workflow and pre-payroll verification. It also describes a payroll preview being reviewed by HR and finance before final processing and recommends locking payroll versions before disbursement. [10]

Interpretation

For your target organisations, the defensible workflow hypothesis is:

`change initiated → evidence/input validated → calculation simulated → exception review → authorised approver(s) sign off → payroll locked → payment/file generated`

The **roles and number of approvers must be configurable**, rather than assumed.

For an agentic system, a highly credible boundary would be:

> **AI may calculate, reconcile, explain and prepare the change. A named human must approve a salary-affecting mutation or final payroll release.**

That pattern is consistent with the direction taken by Workday's current Payroll Agent, which explicitly describes automation with human oversight and recommends reviewing/verifying AI-generated content. [17]

Confidence: High that multi-level/review controls exist in contemporary products; **Medium** for the proposed sequence as a general Indian mid-market pattern.

Sources: Zoho Payroll [16]; Keka help documentation [9]; DigiSME payroll control guidance [10]; Workday Payroll Agent documentation [18].

Employee findings

Payslip components that create confusion

Research question: What payslip components confuse Indian employees most?

Finding — Facts

No reliable evidence found for a representative India-wide ranking of the "most confusing" payslip components. It would be inaccurate to claim, for example, that "PF confuses 60% of employees" based on the evidence available.

Qualitative evidence does, however, repeatedly surface the following concepts:

Concept	Evidence of confusion	Confidence
PF / employer contribution / CTC	A public Indian post asked why the employer PF contribution appeared to be deducted after a hike; current PF reporting also identifies confusion over the employer EPF/EPS split and use of CTC/gross as the PF base. [19]	Medium
TDS	An intern who expected ₹5,000 but received ₹4,500 contacted HR, was told the ₹500 was TDS, and then asked an online community whether the deduction was valid. [20]	Medium
TDS paid vs TDS deposited	Another employee reported payslips showing monthly TDS while a large part was not appearing in Form 26AS, illustrating confusion once payslip and statutory record disagree. [21]	Medium
Arrears	Payroll guidance explicitly warns that an expected gross arrear can turn into a substantially lower net payment after PF and income tax, generating employee tickets unless explained. [7]	Medium
LOP / attendance impact	LOP inconsistencies appear as a recurring payroll-error class, while arrears guidance says retro calculations must account for paid days rather than assuming every affected month is identical. [22]	Medium
Salary restructure after regulatory/ policy change	A public Indian workplace post described basic rising from about 30% to 50% of CTC, PF increasing and take-home falling, with the employee asking whether they were "actually losing money". This is anecdotal, and the poster's legal characterisation should not be treated as authoritative. [23]	Low–Medium

A particularly revealing mental model appears in the PF complaints: employees often frame the experience as **"money going out of my salary"** rather than differentiating cash compensation, CTC, employee PF, employer PF and pension allocation. [19]

Interpretation for HCM One

Do not make the employee decode payroll terminology first.

Instead of:

> “Arrears: +₹31,482
> PF: −₹2,312
> TDS: −₹6,044”

lead with:

> **Your take-home is ₹23,126 higher than last month.**
> Your salary hike added ₹31,482 in current + back-dated pay.
> PF increased by ₹2,312 because your PF-applicable salary increased.
> Income tax increased by ₹6,044 after your annual taxable salary was revised.

Then allow “Show calculation” for component-level detail.

That presentation addresses the observed **net-pay-change question before payroll vocabulary**.

Confidence: Medium for the pattern; **Low** for any ranking of which component is objectively most confusing.

Sources: public Indian PF complaint [24] ; current PF explainer [13] ; TDS complaint [20] ; arrears guidance [7] ; payroll-error guidance [10] .

What employees do after an unexpected salary change

Research question: What do employees do, and how long does resolution take?

Finding — Facts

Across public complaints, the behavioural sequence is fairly consistent even though the sample is not representative:

First, they notice the bank-credit delta. A Reddit user described a new salary credit roughly ₹10,000 lower than expected and was told by commenters to inspect the payslip and calculate the taxable income. [25]

Then they ask HR/payroll. In the TDS example, the employee first asked HR about the ₹500 difference and only went online after receiving the explanation. [20]

They compare independent records when trust is uncertain. The payroll-correction complaint compares HRMS salary, payslip, actual bank credit and a subsequent recovery; a TDS complaint compares payslips with Form 26AS. [26]

They seek external interpretation. The PF, TDS, salary-structure and correction examples all involve employees turning to public communities to ask whether the employer's explanation or calculation is normal. [27]

In more serious disputes, escalation can extend beyond a support ticket. In a reported Coimbatore case, more than 2,000 contract sanitation workers protested after receiving less than they expected following a wage increase; the article reports a week-long protest in early June 2025 and says the relevant May payslip was eventually issued in July. The workers and their union disputed the PF/ESI deductions shown. This is an extreme case and should not be treated as typical. [28]

Resolution time: No reliable evidence found.

I found no recent representative Indian dataset giving a median such as “payroll queries take X days to resolve”. Individual complaints demonstrate that some issues span multiple payroll periods, but converting those anecdotes into an average would be misleading. [26]

Interpretation for HCM One

A useful employee agent should reduce the need for this four-system investigation:

`bank account ↔ payslip ↔ HRMS ↔ statutory portal ↔ HR ticket`

The agent should answer the employee's first question immediately:

> “What changed versus last month?”

and then provide a verifiable trail:

> salary revision → affected months → arrears → PF/TDS/LOP → final bank credit.

For unresolved anomalies, the assistant should create an escalation **with its evidence attached**, rather than merely saying “contact HR”.

Confidence: Medium for behaviour patterns; **Low** for resolution-time estimates.

Sources: Reddit IndiaTax salary-change discussion [25]; TDS complaint [20]; payroll correction complaint [12]; Form 26AS mismatch complaint [21]; Times of India Coimbatore case [28].

Effect on trust in HR and the employer

Research question: How does payslip confusion affect trust?

Finding — Facts

No reliable India-wide causal survey was found that quantifies how much payslip confusion reduces employee trust.

There is nevertheless strong qualitative evidence that unresolved pay discrepancies can become a **fairness and credibility issue**, rather than remaining a clerical issue.

The Coimbatore wage case is the clearest reported example: workers who believed the revised wage had not translated into the promised take-home accused the organisation of deceiving them and more than 2,000 workers protested. Their dispute centred partly on what deductions appeared on the payslip. [28]

A current Indian workplace complaint about a payroll correction shows a different trust consequence: because the payslip, bank credit and subsequent recovery did not align, the employee worried the discrepancy could undermine background verification for a future job. [12]

An older but relevant public complaint illustrates an extreme reaction to a payroll correction: an employee said HR informed them that they had been paid roughly twice what they should have received, asked for the excess back and cut future pay; the employee reported having resigned. This cannot establish causation or prevalence, but it demonstrates the severity of the employee reaction when the original payroll number itself becomes disputed. [29]

India-focused payroll guidance also explicitly connects salary delays and repeated payroll errors with lower organisational trust, although this is vendor commentary rather than an independent employee survey. [11]

Interpretation

The underlying UX risk appears to be **epistemic trust**:

> "Can I believe the number my employer is showing me?"

Once that breaks, employees begin checking HR's number against bank statements, tax records, PF records, peers and public forums. [26]

This makes explainability a product requirement rather than cosmetic UX. The assistant's response should distinguish:

what changed → who/what changed it → when it became effective → calculation used → evidence/source → who approved it.

An AI-generated natural-language explanation without those anchors could actually make the trust problem worse.

Confidence: Medium. The qualitative relationship is well supported, but a quantitative India-specific causal estimate is unavailable.

Sources: Times of India wage dispute [28]; Indian workplace payroll-correction complaint [12]; public overpayment dispute [29]; payroll guidance on salary delays/trust [11].

Competitor and AI landscape

Current product capabilities

The competitive situation changed materially by 2026: several major HR/payroll systems now publicly position AI as an **action layer**, not merely a help-centre chatbot.

Product	What the product publicly supports today	Relevance to HCM One	Evidence / confidence
Darwinbox	Its current Android listing describes an **AI Super Agent** that can handle tasks across HR, IT and Finance, including raising tickets and finding answers. Darwinbox Sense gives managers/admins GenAI answers, insights and predictive analytics. [30]	General workplace agent capability already exists. In the public evidence reviewed, I found **no reliable evidence** that Darwinbox specifically exposes an employee "compare this payslip with last month and explain arrears/PF" experience or a back-dated-hike-to-PF approval agent. That absence should be treated as a public-documentation gap, not proof the feature does not exist.	**High** for stated capabilities; **Low–Medium** for inferred gap.
Keka	Keka says its AI answers questions across **payroll**, attendance, hiring and performance, **cites the record behind every number**, and completes everyday tasks. It says the AI works inside payroll workflows, flags payroll anomalies, explains their drivers and recommends actions. [31]	This is one of the closest Indian-market overlaps with the proposed HCM One value proposition, particularly source-grounded answers and anomaly explanations. Public material reviewed did not explicitly demonstrate a full retro-hike → historical recomputation → PF delta → approval journey.	**High.**
greytHR	greytHR's support centre currently introduces **NAVOS** as an "Agentic AI Assistant" that answers complex HR, payroll and compliance questions. [32]	Strong evidence of conversational payroll/ compliance assistance. The public source reviewed presents it principally through the knowledge/support experience; **no reliable evidence found** there of autonomous salary mutation or a month-by-month retro payroll execution flow.	**High** for assistant/ Q&A; **Medium** for capability boundary.
Zoho Payroll / Zia	Zoho Payroll can process salary revisions and resulting arrears and supports multi-level pay-run approvals. Separately, Zoho's Zia AI platform offers contextual chat and purpose-built agents that can answer and act across Zoho applications. Zoho emphasises that its AI stack can avoid exposing customer data to external model vendors. [33]	The building blocks exist: strong Indian payroll automation + enterprise AI. **No reliable public evidence found in the material reviewed that Zoho Payroll India currently gives an employee a Zia conversation explaining their individual hike/arrears/PF delta or lets Zia execute a retro salary revision.**	**High** for the separate capabilities; **Medium** for the integration gap.

Product	What the product publicly supports today	Relevance to HCM One	Evidence / confidence
Workday	Workday now has a dedicated **Payroll Agent**. Its current product page says the agent validates payroll, explains and recommends actions, supports end-to-end workflows with human oversight, surfaces payroll insights, and explicitly includes **Payslip Explanation**, including comparison of payslips. Official admin docs say it can perform actions with human intervention, show which Workday data sources produced an answer, and recommends users review and verify AI output. [17]	This is the most direct conceptual overlap: payroll practitioner assistance + employee payslip explanation + source transparency + human oversight. The opportunity for HCM One must therefore be **India-specific depth and mid-market workflow**, not "AI explains a payslip" alone. The reviewed documentation says Payroll Agent is available in Workday Payroll countries; it does not establish from this evidence that all India-local statutory payroll scenarios are covered.	**High.**

What this means competitively

There are now four increasingly common AI patterns in HR/payroll products.

Conversational retrieval: "Ask about payroll and get an answer." greytHR NAVOS and Darwinbox clearly operate in this space. [34]

Grounded explanation: Keka explicitly emphasises citing the record behind each number, while Workday can expose the data sources used to produce an answer. [35]

Proactive anomaly detection: Keka says it identifies payroll anomalies and explains drivers; Workday says its Payroll Agent validates payroll and catches issues before paychecks run. [36]

Action with human control: Workday explicitly says the agent can automate workflows while retaining human oversight, and its admin documentation describes human intervention and review. [17]

That suggests a portfolio concept based only on:

> "Chat with AI about payroll"

would now appear conventional.

The stronger differentiation is:

> **"Show me exactly what a back-dated change will do across every historical pay period and statutory deduction; let me inspect the evidence; then route the proposed change through approval. After payroll, explain the same calculation to the employee in plain language."**

That combines two experiences that are often treated separately: **payroll operations** and **employee pay comprehension**.

Concerns about AI handling payroll and salary data

Research question: What concerns do HR teams and employees have about AI handling payroll and salary data?

Security, privacy and compliance

India-wide enterprise evidence shows security and compliance are material blockers to AI adoption. A 2026 Dell study reported by the Times of India surveyed 150 Indian business/IT decision-makers and found **61% of Indian organisations had delayed or paused AI adoption because of security and compliance concerns**. This is not an HR/payroll-specific statistic, so it should be used as broader enterprise context rather than as "61% of payroll teams". [37]
Confidence: High for Indian enterprise AI; Medium for direct payroll applicability.

India's privacy environment also materially affects any payroll agent. Reuters reported that India's 2025 DPDP rules operationalised the 2023 privacy law, including requirements around collecting only data necessary for a specified purpose, explaining collection to individuals and notifying them where their information is affected by a breach. Payroll data therefore cannot sensibly be treated as unrestricted context for a general-purpose workplace agent. [38]
Confidence: High.

Accuracy and the risk of a confidently wrong payroll answer

Payroll is unusually unforgiving of plausible-but-wrong AI output because the response can translate into actual compensation, tax or statutory errors. Workday's own current documentation recommends establishing processes to **review, edit and verify AI-generated content before use**, and its Payroll Agent product messaging repeatedly emphasises human oversight. [17]
Confidence: High that vendor design treats human verification as necessary.

This is especially relevant to HCM One because the same conversational response may cross several rule systems: salary effective dates, historical attendance, PF, tax, organisational compensation policy and approval rights.

"Where did that number come from?"

Vendor design choices provide indirect market evidence that traceability matters. Keka highlights that its AI **cites the record behind every number**, while Workday says Payroll Agent can show the Workday data sources queried to produce an answer. [35]

Interpretation: source attribution is becoming a baseline trust mechanism in enterprise HR AI. An HCM One answer that merely says "Your arrears are ₹28,640" is weaker than:

> ₹28,640
> Calculated from Salary Revision SR-1042, effective 1 April → attendance records for Apr–Jun → current PF configuration → payroll runs APR-26/MAY-26/JUN-26.

Confidence: Medium, because this is an inference from product design rather than an independent user survey.

Exposure of compensation data to AI vendors

Zoho explicitly markets its owned technology stack and states that its AI can operate without exposing customer data to external model vendors. That positioning does not prove what all HR buyers demand, but it is evidence that **model/data-boundary concerns are important enough to be a selling point** in the enterprise AI market. [39]
Confidence: Medium.

Employee-specific willingness to let AI access salary data

No reliable evidence found for a recent, representative Indian survey asking employees whether they are comfortable with an AI assistant accessing their individual salary, tax, PF and payslip history.

This should be treated as a primary-research question rather than assumed. In particular, user interviews should test whether employees' discomfort differs between:

> “AI reads my payslip to explain it”
> “AI recommends a correction”
> “AI edits my payroll record”
> “AI approves or triggers salary payment”

Confidence: Low / needs validation with real users.

Product implications and validation gaps

Evidence-backed design opportunities

The strongest evidence supports an **audit-first agent**, rather than an autonomy-first agent.

For the **HR Administrator**, a credible core interaction would be:

> **“Process Ananya's hike from ₹9.6L to ₹11.2L, effective 1 April.”**

The agent should respond with a proposed calculation rather than immediately changing payroll:

> **Affected payrolls:** Apr, May, Jun
> **Historical gross difference:** ₹X
> **LOP adjustment:** −₹Y in May
> **Revised PF impact:** ₹Z
> **Tax re-projection:** ₹A
> **Total proposed arrears:** ₹B gross / ₹C estimated net
> **Records used:** salary revision, attendance, previous payrolls, PF configuration
> **Exceptions:** one item needs review
> **Next step:** Review calculation → Send for approval

That interaction addresses the documented risks around period-by-period recalculation, LOP, PF, spreadsheet errors and approval traceability. [40]

For the **Employee**, the equivalent interaction should begin with the delta rather than jargon:

> **“Why is my salary different this month?”**
>
> Your take-home increased by ₹18,420.
>
> **₹26,300 added:** revised salary + arrears from April and May
> **₹2,480 more PF:** your PF-applicable salary increased
> **₹5,400 more tax:** your projected annual taxable income increased
>
> Nothing else in your attendance or deductions changed.

Then expose progressively deeper detail:

`Summary → What changed → Month-by-month arrears → PF calculation → Tax calculation → Source records → Ask HR`

This directly targets the behaviours seen in public complaints, where employees currently reconstruct explanations from payslip lines, HR responses, bank records and external communities. [4]

Controls that should be visible in the case study

Source grounding should be visible in the UI. Both Keka and Workday now make provenance part of their AI proposition, so “according to payroll record…” is not enough; show the underlying effective-dated record. [35]

Separate simulation from execution. The agent should be able to freely calculate “what would happen if…”, while actual salary changes enter a named approval workflow. This is consistent with existing payroll approval products and Workday's human-oversight model. [41]

Show before/after values instead of only a new value. Current Keka payroll documentation itself exposes old salary, new salary and percentage change during salary-revision review. [9]

Version statutory logic by effective date. The September 2026 PF ceiling change demonstrates why a payroll AI cannot safely treat regulatory configuration as static. [3]

Preserve an audit trail. The evidence on spreadsheet/email workflows specifically points to weak traceability, while enterprise AI products increasingly keep humans in the review path. [42]

Make uncertainty explicit. Where a payroll result depends on organisational policy rather than a universal rule, the agent should say so and request/identify the policy it is applying. This is particularly important for PF configuration and compensation structure rather than silently applying a generic formula. [43]

Claims the portfolio should not make without primary research

Several attractive case-study statistics are **not supported by reliable evidence found in this research**:

Potential claim	Evidence status
“Most Indian HR teams calculate arrears manually in Excel.”	**No reliable prevalence evidence found.** Vendor evidence confirms this workflow exists, not that it is the majority. [2]
“Payroll admins spend X hours calculating arrears.”	**No reliable India-specific evidence found.**
“PF is the most confusing payslip component.”	**No reliable comparative ranking found.** Qualitative evidence makes PF a strong hypothesis. [44]
“Employees raise X tickets per month about payroll.”	**No reliable evidence found for the target segment.**
“Payroll tickets take X days to resolve.”	**No reliable representative Indian resolution-time evidence found.**
“Payslip confusion reduces employee trust by X%.”	**No reliable India-specific causal statistic found.** Case evidence supports trust risk qualitatively. [45]
“Employees trust AI with payroll.”	**No reliable Indian employee-specific survey found.**
“AI should autonomously approve salary changes.”	**Evidence points in the opposite direction:** current enterprise payroll AI emphasises human review and oversight. [17]

Highest-value hypotheses to validate with users

The desk research supports turning the remaining uncertainties into focused interview hypotheses rather than presenting them as facts.

For HR/payroll administrators, the most important question is whether **reconstructing the historical inputs and checking them** takes more effort than doing the arithmetic itself. The evidence on fragmented attendance, master data, retro LOP and spreadsheet reconciliation suggests that it may, but this requires direct observation in 200–2,000-person Indian organisations. [22]

A second hypothesis is that payroll administrators will allow AI to **prepare and explain** a salary correction before they allow it to **execute** one. Current competitor design—especially Workday's explicit human oversight—and India's broader enterprise security concerns make this plausible, but direct buyer/user research is needed. [46]

For employees, a strong hypothesis is that they do not initially want a payroll education lesson; they want to know **why their bank credit changed and whether it is correct**. The public complaints consistently start from the unexpected amount and only then move into PF, TDS or payslip terminology. [47]

Finally, test whether a **source-backed explanation** meaningfully increases trust. Current competitors clearly believe provenance matters—Keka cites the record behind numbers and Workday exposes queried sources—but evidence that this specifically increases Indian employees' confidence in salary explanations remains to be established through user research. [35]

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